Principal Residence Worksheet

Complete this worksheet together with Form T2091(IND), Designation of a Property as a Principal Residence by an Individual (Other than a Personal Trust), or Form T1255, Designation of a Property as a Principal Residence by the Legal Representative of a Deceased Individual, to calculate the reduction as a result of the capital gains election. To calculate the reduction, you will need amounts reported on Form T664 or T664(Seniors), Election to Report a Capital Gain on Property Owned at the End of February 22, 1994, that you (for the purposes of this form, if you are the legal representative for a deceased person, "you" refers to the deceased person) filed for the 1994 tax year. Keep a copy of this worksheet for your records and attach another to Form T2091(IND) or Form T1255.

Note

If you were not a resident of Canada for the entire time you owned the designated property, call **1-800-959-8281**. The period of non-residence may reduce or eliminate the availability of the principal residence exemption.

Information you need to calculate the reduction

The **acquisition date** is the later of the following: December 31, 1971, or the date on which you last acquired or reacquired the property. For the purpose of the calculation below, you are **not** considered to have disposed of and immediately reacquired the property as a result of the capital gains election.

Number of tax years ending after the acquisition date and before 1995 for which the property is designated as a principal residence:

After 1981 and before 1995			1
Before 1982 (line 2 of Form T2091(IND) or Form T1255)	+		2
Total number of years designated before 1995 (line 1 plus line 2)	=		3

Number of tax years ending after the acquisition date and before 1995 in which you owned the property (jointly with another person or otherwise):

After 1981 and before 1995			4
Before 1982 (line 6 of Form T2091(IND) or Form T1255)	+		5
Total number of years owned before 1995 (line 4 plus line 5)	=		6

Designated proceeds of disposition (column 2, Chart B of Form T664, or column 2, Step 2 of Form T664(Seniors))			7
Adjusted cost base at the end of February 22, 1994 (column 1, Chart B of Form T664, or column 1, Step 2 of Form T664(Seniors))			8
Adjusted cost base on December 31, 1981 (line 11 of Form T2091(IND) or Form T1255)			9
Fair market value at the end of February 22, 1994 (Step 1 of Form T664 or T664(Seniors))			10
Fair market value on December 31, 1981 (line 12 of Form T2091(IND) or Form T1255)			11
Adjustments made to the cost base after 1981 and before February 23, 1994 (for example, capital expenditures)			12
Elected capital gain (column 5, Chart B of Form T664, or column 5, Step 2 of Form T664(Seniors))			13

Chart 1

Complete this chart if the amount on line 7 is more than the amount on line 10. Otherwise, enter the amount from line 10 on line 19.

Fair market value at the end of February 22, 1994 (line 10)					14
Designated proceeds of disposition (line 7)			15		
Multiply line 14 by 1.1.	–		16		
Line 15 minus line 16 (if negative, enter "0")	=		►	–	17
Line 14 minus line 17				=	18

Part 1

Enter the amount from line 18 if you completed Chart 1. Otherwise, enter the amount from line 10.					19
Adjusted cost base at the end of February 22, 1994 (line 8)				–	20
Line 19 minus line 20	**Adjusted gain before principal residence exemption**			=	21
Amount from line 21			22		
Line 3 plus 1 (see **note** below)		×	23		
Multiply line 22 by line 23.		=	24		
Total number of years from line 6		÷	25		
Divide line 24 by line 25.		=	►	–	26
Line 21 minus line 26	**Net adjusted gain**			=	27

Part 2

Complete this part **if** you completed Part 2 of Form T2091(IND) or Form T1255. In all **other cases**, enter the amount from line 27 in Part 1 on line 59 in Part 3 on the next page.

A. Adjusted pre-1982 gain

If you designated the property as a principal residence for all the years you owned it before 1982, do **not** complete lines 28 to 35. Instead, enter "0" on line 36.

Fair market value on December 31, 1981 (line 11)					28
Adjusted cost base on December 31, 1981 (line 9)				–	29
Line 28 minus line 29	**Adjusted pre-1982 gain before principal residence exemption**			=	30
Amount from line 30			31		
Line 2 plus 1 (see **note** below)		×	32		
Multiply line 31 by line 32.		=	33		
Number of years from line 5		÷	34		
Divide line 33 by line 34.		=	►	–	35
Line 30 minus line 35 (if negative, enter "0")	**Adjusted pre-1982 gain**			=	36

B. Adjusted post-1981 gain

If you designated the property as a principal residence for all the years you owned it after 1981, do **not** complete lines 37 to 46. Instead, enter "0" on line 47 and complete areas D and E.

Amount from line 19					37
Fair market value on December 31, 1981 (line 11) If the fair market value of the property on December 31, 1981, is **more than** the amount online 37, do **not** complete lines 38 to 46. Instead, enter "0" on line 47 and complete areas C, D, and E.			38		
Adjustments made after 1981 and before February 23, 1994 (line 12)		+	39		
Line 38 plus line 39		=	►	–	40
Line 37 minus line 40	**Adjusted post-1981 gain before principal residence exemption**			=	41
Amount from line 41			42		
Number of years from line 1		×	43		
Multiply line 42 by line 43.		=	44		
Number of years from line 4		÷	45		
Divide line 44 by line 45.		=	►	–	46
Line 41 minus line 46 (if negative, enter "0")	**Adjusted post-1981 gain**			=	47

C. Adjusted post-1981 loss

Fair market value on December 31, 1981 (line 11)					48
Amount from line 19				–	49
Line 48 minus line 49 (if negative, enter "0")	**Adjusted post-1981 loss**			=	50

Note

One year is granted by law. If you disposed of your principal residence after October 2, 2016, and were a non-resident throughout the year of acquisition of the property, you are not eligible to use the "plus 1" in this calculation.

D. Net adjusted gain

Adjusted pre-1982 gain, if any (line 36)			**51**
Adjusted post-1981 gain, if any (line 47)		+	**52**
Line 51 plus line 52		=	**53**
Adjusted post-1981 loss, if any (line 50)		–	**54**
Line 53 minus line 54 (if negative, enter "0")	**Net adjusted gain**	=	**55**

E. Total adjusted gain before reduction for non-qualifying real or immovable property

Net adjusted gain from Part 1 (line 27)			**56**
Net adjusted gain from Part 2 (line 55)			**57**
Enter **whichever amount is less**: line 56 or line 57.	**Total adjusted gain before reduction for non-qualifying real or immovable property**		**58**

Part 3

If you completed Part 2, enter the amount from line 58. Otherwise, enter the amount from line 27.	**Total adjusted gain before reduction for non-qualifying real or immovable property**				**59**
Number of months you owned the property after February 1992 and before March 1994 (do not include any months you or your spouse or common-law partner designated the property as a principal residence)		×			**60**
Multiply line 59 by line 60.		=			**61**
Number of months you owned the property after 1971 and before March 1994 (do not include any months you or your spouse or common-law partner designated the property as a principal residence)		÷			**62**
Divide line 61 by line 62.		=		► –	**63**
Line 59 minus line 63	**Total adjusted gain**			=	**64**
Elected capital gain (line 13)					**65**
Enter **whichever amount is less**: line 64 or line 65.	**Reduction as a result of the capital gains election**				**66**

Enter the amount from line 66 above on **line 56** of Form T2091(IND) or Form T1255.

See the privacy notice on your return.